

Quarterly Departmental Budget & Expense Report

Synthetic Financial Report • Q2 2026 • Meridian Commerce Group

Reporting period: April–June 2026 **Currency:** USD **Purpose:** Management budget review and variance analysis

Disclaimer: All departments, amounts, vendors, and transactions are fictional and created solely for testing and demonstration.

1. Executive Summary

Metric	Approved Budget	Actual Spend	Variance	Utilization
Total Company Departments	\$3,460,000	\$3,287,400	\$172,600 Under	95.0%
Personnel	\$1,210,000	\$1,164,200	\$45,800 Under	96.2%
Technology	\$610,000	\$568,900	\$41,100 Under	93.3%
Operations	\$720,000	\$691,500	\$28,500 Under	96.0%
Programs & Travel	\$520,000	\$482,800	\$37,200 Under	92.8%

2. Departmental Budget Performance

Department	Budget	Actual	Variance	Utilization	Status
Engineering	\$940,000	\$899,700	\$40,300 Under	95.7%	Healthy
Product	\$390,000	\$374,900	\$15,100 Under	96.1%	Healthy
Sales	\$560,000	\$538,600	\$21,400 Under	96.2%	Healthy
Marketing	\$470,000	\$445,700	\$24,300 Under	94.8%	Healthy
Customer Operations	\$430,000	\$417,900	\$12,100 Under	97.2%	Watch
IT & Security	\$310,000	\$288,100	\$21,900 Under	92.9%	Under Plan
Finance & People	\$360,000	\$322,500	\$37,500 Under	89.6%	Under Plan
Total	\$3,460,000	\$3,287,400	\$172,600 Under	95.0%	Healthy

3. Monthly Spend

Department	April Budget	April Actual	May Budget	May Actual	June Budget	June Actual
Engineering	\$310,000	\$302,100	\$315,000	\$298,400	\$315,000	\$299,200
Product	\$125,000	\$120,600	\$130,000	\$126,700	\$135,000	\$127,600
Sales	\$180,000	\$175,500	\$185,000	\$177,200	\$195,000	\$185,900
Marketing	\$150,000	\$142,900	\$155,000	\$148,300	\$165,000	\$154,500
Customer Operations	\$140,000	\$136,200	\$145,000	\$141,800	\$145,000	\$139,900
IT & Security	\$100,000	\$91,300	\$105,000	\$97,400	\$105,000	\$99,400

Department	April Budget	April Actual	May Budget	May Actual	June Budget	June Actual
Finance & People	\$115,000	\$104,700	\$120,000	\$108,800	\$125,000	\$109,000

4. Expense Category Breakdown

Category	Budget	Actual	Variance	Share of Actual
Salaries & Benefits	\$1,210,000	\$1,164,200	\$45,800 Under	35.4%
Cloud & Hosting	\$285,000	\$263,700	\$21,300 Under	8.0%
Software Licenses	\$325,000	\$305,200	\$19,800 Under	9.3%
Facilities	\$410,000	\$398,600	\$11,400 Under	12.1%
Travel & Events	\$355,000	\$326,900	\$28,100 Under	9.9%
Professional Services	\$310,000	\$294,700	\$15,300 Under	9.0%
Marketing Programs	\$265,000	\$248,100	\$16,900 Under	7.5%
Training	\$120,000	\$109,300	\$10,700 Under	3.3%
Other Operating	\$180,000	\$176,700	\$3,300 Under	5.4%
Total	\$3,460,000	\$3,287,400	\$172,600 Under	100.0%

5. Engineering Expense Detail

Expense Area	Budget	Actual	Variance	Comment
Engineering payroll	\$510,000	\$498,600	\$11,400 Under	Open positions delayed
Cloud infrastructure	\$145,000	\$132,700	\$12,300 Under	Lower compute usage
Developer software	\$92,000	\$87,400	\$4,600 Under	License consolidation
Contractors	\$105,000	\$101,000	\$4,000 Under	Project timing shifted
Training	\$28,000	\$24,000	\$4,000 Under	Two courses moved to Q3
Engineering travel	\$35,000	\$31,000	\$4,000 Under	Fewer conferences
Other	\$25,000	\$25,000	\$0	On budget

6. Marketing Expense Detail

Program	Budget	Actual	Variance	Result
Digital campaigns	\$120,000	\$113,500	\$6,500 Under	Within target
Content production	\$62,000	\$57,900	\$4,100 Under	Delivered
Events	\$88,000	\$81,700	\$6,300 Under	Two events completed
Market research	\$45,000	\$42,000	\$3,000 Under	Study completed
Tools & subscriptions	\$35,000	\$33,600	\$1,400 Under	Renewals optimized
Other	\$120,000	\$117,000	\$3,000 Under	On plan

7. Significant Transactions

Transaction	Department	Amount	Category	Approval
Cloud capacity renewal	Engineering	\$64,500	Infrastructure	Approved
Annual analytics license	Product	\$38,000	Software	Approved
Regional sales summit	Sales	\$47,800	Travel & Events	Approved
Brand campaign production	Marketing	\$52,600	Marketing	Approved
Security assessment	IT & Security	\$31,500	Professional Services	Approved
Office facilities renewal	Customer Operations	\$76,000	Facilities	Approved
Recruitment services	Finance & People	\$22,400	Professional Services	Approved
Learning platform renewal	Finance & People	\$18,600	Training	Approved

8. Variance Analysis

Department	Primary Driver	Financial Impact	Management Interpretation
Engineering	Cloud usage and delayed hiring	\$40,300 favorable	Capacity remains adequate; monitor hiring timing.
Product	Lower external research spend	\$15,100 favorable	Savings can support second-half discovery work.
Sales	Travel savings	\$21,400 favorable	Review event assumptions for next quarter.
Marketing	Vendor negotiation	\$24,300 favorable	Maintain current procurement approach.
Customer Operations	Higher support tooling offset by travel savings	\$12,100 favorable	Monitor subscription growth.
IT & Security	Deferred security tooling purchase	\$21,900 favorable	Some spending may move into Q3.
Finance & People	Lower recruitment volume	\$37,500 favorable	Reforecast hiring-related expenses.

9. Budget Risks for Q3

- Deferred purchases from Q2 may create a temporary spending increase in Q3.
- Cloud usage could rise as new customer workloads are launched.
- Several software contracts are scheduled for annual renewal in August.
- Recruitment expenses may increase if planned engineering hiring accelerates.
- Travel budgets should be revalidated using actual Q2 attendance and event plans.

10. Recommended Actions

Priority	Recommendation	Owner	Timing
High	Reforecast deferred technology purchases	Finance + IT	First week of Q3
High	Review cloud capacity against Q3 demand	Engineering	Monthly
Medium	Consolidate software renewals	Procurement	July

Priority	Recommendation	Owner	Timing
Medium	Update travel assumptions	Department Managers	July
Medium	Review hiring forecast	Finance + People	Biweekly
Low	Increase selected training allocation	Engineering + HR	August

11. Management Conclusion

Q2 2026 closed with spending below the approved budget across every department in this synthetic report. The strongest favorable variances came from delayed hiring, lower cloud consumption, reduced travel, and vendor savings. Management should nevertheless distinguish genuine savings from expenses that were simply deferred into Q3.

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